

THE NEGOTIABLE INSTRUMENTS ACT, 1881

ACT NO. 26 OF 1881

CHAPTER XVII: OF PENALTIES IN CASE OF DISHONOUR OF CERTAIN CHEQUES

Section 138. Dishonour of cheque for insufficiency, etc., of funds in the account.-

Where any cheque drawn by a person is returned unpaid by the bank, such person shall be deemed to have committed an offence.

Section 139. Presumption in favour of holder.-

It shall be presumed, unless the contrary is proved, that holder received cheque for discharge of debt.